IN THE NATIONAL COMPANY LAW TRIBUNAL,

ALLAHABAD BENCH, ALLAHABAD

Company Application No. CA(CAA)No.02/ALD of 2021

(Under Section 230 & 232 of the Companies Act, 2013)

In the Matter of:

1. Bhargava Traders Pvt Ltd, a private limited company incorporated underthe Companies Act, 1956and having itsregistered office at 80A, Old Vijay Nagar, Near Radha Krishna Mandir, Agra-282 004, Uttar Pradesh

.....Applicant Company No. 1/Transferor Company No. 1

2. Bhrigu Traders Pvt Ltd, a private limited company incorporated under the Companies Act, 1956 and having its registered office at 80A, Old Vijay Nagar, Near Radha Krishna Mandir, Agra-282 004, Uttar Pradesh

.....Applicant Company No. 2/Transferor Company No. 2

AND

3. FirstChoice Hotels Pvt Ltd, a private limited company incorporated under the Companies Act, 1956and having its registered office at48/106, 1st Floor, Puneet Vrindavan, Sanjay Place, Agra-282 002, Uttar Pradesh

.....Applicant Company No. 3/Transferee Company

ORDER DELIVERED ON : 18.01.2021

CORAM:
Hon'ble Mr. Justice (Retd.) Rajesh Dayal Khare, Member, Judicial

For the Applicant Companies: **Mr.Rajeev Kumar Goel, Adv Alongwith Mr. Ankit Kumar Singh, PCS**

Per se: Mr. Justice (Retd.) Rajesh Dayal Khare, Member (Judicial)

ORDER

1. This joint 1st motion Application under Sections 230 & 232 of the companies Act, 2013 (herein after referred to as the "Act") read with Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 (herein after referred to as "the Rules") is filed by the Applicant Transferor Companies No. 1& 2and the Transferee Company seeking directions of this Tribunal to dispense with the requirement of convening meetings of Shareholders, Secured Creditors and Un-secured Creditors

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of the Transferor Companies No. 1 & 2 and the Transferee Company. The Applicant Company No. 1 is the Transferor Company No. 1, the Applicant Company No. 2 is the Transferor Company No. 2 and Applicant Company No. 3 is the Transferee Company as stated in the proposed Scheme of Amalgamation and in the Application.

2. In the Application, it is stated that the Transferor Company No. 1 is a private limited company registered under the provisions of the Companies Act, 1956.The Authorised Share Capital of the Transferor Company No. 1 is ₹1,00,00,000 divided into 10,00,000 Equity Shares of ₹10 each. The present Issued, Subscribed and Paid-up Share Capital of the Company is ₹21,00,000 divided into 2,10,000 Equity Shares of ₹10 each.

The Main Objects of the Company are set out in its Memorandum and Article of Association annexed with the Application and marked as ***Annexure A-1/1 and are placed at page nos. 50 to 78.***

Presently,the Transferor Company No. 1 is engaged in purchase, sale and trading of agriculture products and other commodities and other related activities. The Company has also set up a banquet hall and related infrastructure in joint venture with the Transferee Company.

3. In the Application, it is stated that the Transferor Company No. 2 is a private limited company registered under the provisions of the Companies Act, 1956.The Authorised Share Capital of the Transferor Company No. 2 is ₹1,00,00,000 divided into 10,00,000 Equity Shares of ₹10 each. The present Issued, Subscribed and Paid-up Share Capital of the Company is ₹16,00,000 divided into 1,60,000 Equity Shares of ₹10 each.

The Main Objects of the Company are set out in its Memorandum and Article of Association annexed with the Application and marked as ***Annexure A-2/1 and are placed at page nos. 125 to 153.***

Presently, the Transferor Company No. 2 is engaged in purchase, sale and trading of agriculture products and other commodities and other

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related activities. The Company has also set up a banquet hall and related infrastructure in joint venture with the Transferee Company.

4. In the Application, it is stated that the Transferee Company is a private limited company registered under the provisions of the Companies Act, 1956.The Authorised Share Capital of the Transferee Company is ₹2,30,00,000 divided into 23,00,000 Equity Shares of ₹10 each. The present Issued, Subscribed and Paid-up Share Capital of the Company is ₹2,28,00,000 divided into 22,80,000 Equity Shares of ₹10 each.

The Main Objects of the Company are set out in its Memorandum and Article of Association annexed with the Application and marked as ***Annexure A-3/1 and are placed at page nos. 208 to 226.***

Presently, the Transferee Company has set up a banquet hall and related infrastructure in joint venture with the Transferor Companies. The Transferee Company is engaged in providing banqueting services and other related activities.

5. The material placed on record discloses that all the Applicant Transferor Companies No. 1 & 2 and the Transferee Company are closely held private limited Group Companies under common management and control. The respective registered office of all the Applicant Transferor Companies No. 1 & 2 are situated at 80A, Old Vijay Nagar, Near Radha Krishna Mandir, Agra-282 004, Uttar Pradesh, andTransferee Company is situated at 48/106, 1st Floor, Puneet Vrindavan, Sanjay Place, Agra-282 002, Uttar Pradesh, within the jurisdiction of this Tribunal.

6. The Board of Directors of all the Applicant Companies in the meeting held on 25thNovember, 2020, considered and unanimously approved the proposed Scheme of Amalgamation.

7. The Applicant Companies have filed the Audited Financial Statements for the financial year ended 31stMarch, 2020 and the Un-audited Financial Statements (Provisional) for the financial period ended 30th September, 2020.

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8. The Board of Directors and management of the Applicant Companies have proposedScheme of Amalgamation of Bhargava Traders Pvt Ltd and Bhrigu Traders Pvt Ltd with FirstChoice Hotels Pvt Ltd, for the following reasons:

i. *All the Transferor Companies and the Transferee Company are closely held private limited Group Companies under common shareholding, management and control. The proposed amalgamation of the Transferor Companies with the Transferee Company would result in consolidation of various Group Companies and pooling of their resources into a single entity.*

ii. *The proposed Amalgamation would result in optimising and leveraging existing resources of these Companies for the most beneficial utilization of these factors in the combined entity. It would be advantageous to combine the activities and operations of all these Companies in a single entity and building strong capability to effectively meet future challenges in competitive business environment.*

iii. *The proposed Scheme of Amalgamation will result in usual economies of a centralized and a large company including elimination of duplicate work, reduction in overheads, better and more productive utilization of financial, human and other resource and enhancement of overall business efficiency. The proposed Scheme will enable these Companies to combine their managerial and operating strength, to build a wider capital and financial base and to promote and secure overall growth.*

iv. *The amalgamation will result in significant reduction in multiplicity of legal and regulatory compliances which at present is required to be made separately by the Transferor Companies and the Transferee Company.*

v. *The proposed amalgamation will provide greater efficiency in fund management and unfettered access to fund flow generated by the combined business which can be deployed more efficiently to fund organic and inorganic growth opportunities. The proposed amalgamation would enhance the shareholders' value of the Transferor and the Transferee Companies.*

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vi. The proposed Scheme of Amalgamation will have beneficial impact on the Transferor and the Transferee Companies, their shareholders, employees and other stakeholders and all concerned.

9. It is stated that no proceeding for inspection, inquiry or investigation under the provisions of the Companies Act, 2013, or under the provisions of the Companies Act, 1956 is pending against the Applicant Companies.

10. It is stated by the Applicant Companies that the proposed Scheme of Amalgamation does not envisage any buy back of shares. There is no proposal for reduction of share capital except to the extent of cancellation of any cross holding of shares between Transferor Companies; and between the Transferor Companies and the Transferee Company, as the case may be.

11. The learned Counsel for the Applicant Companies filed details of Shareholders, Secured Creditors and Un-secured Creditors detailed below:

Transferor Company No. 1:

i) The Transferor Company No. 1has 3 (three) ***Equity Shareholders*** *and all the Shareholders have given their consents by way of deposing individual affidavits.*

ii) The Transferor Company No. 1does not have any ***Secured Creditor*** *and Nil list of Secured Creditor, duly certified by the Chartered Accountants, is enclosed herewith.*

iii) The Applicant Transferor Company No. 1 has only 1 (one) ***Un-secured Creditor*** *and the sole Un-secured Creditor has given his written consents/NOC by way of affidavit for the proposed Scheme of Amalgamation.*

Transferor Company No. 2:

i) The Transferor Company No. 2 has 3 (three) ***Equity Shareholders*** *and all the Shareholders have given their consents by way of deposing individual affidavits.*

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ii) The Transferor Company No. 2does not have any ***Secured Creditor*** *and Nil list of Secured Creditor, duly certified by the Chartered Accountants, is enclosed herewith.*

*iii) The Applicant Transferor Company No. 2 has 3 (three)****Un-secured Creditor*** *andall the Un-secured Creditor havegiven their written consents/NOC by way of affidavit for the proposed Scheme of Amalgamation.*

Transferee Company

i) The Transferee Company has 2 (two) ***Equity Shareholders*** *and both the Equity Shareholders have given their consents by way of deposing individual affidavits.*

ii) The Transferee Company does not have any ***Secured Creditor*** *and Nil list of Secured Creditor, duly certified by the Chartered Accountants, is enclosed herewith.*

*iii) The Applicant Transferee Company has only 1 (one)****Un-secured Creditor*** *and the sole Un-secured Creditor has given his written consents/NOC by way of affidavit for the proposed Scheme of Amalgamation.*

12. The Applicants has stated that the accounting treatment proposed in the Scheme of Amalgamation is inconformity with the accounting standards prescribed under Section 133 of the Companies Act, 2013. Certificates from the respective Statutory Auditors of all the Companies have been filed along with the Application.

13. Learned PCS Mr Ankit Kumar Singh, appearing for the Applicant, made the following contentions with respect to the dispensation of the requirement of convening meetings:

a. All the Shareholders of the Transferor Companies No. 1 & 2 and the Transferee Company have given their written consents by way of affidavits. Therefore, the requirement of convening meetings of the Shareholders of the Transferor Companies No. 1 & 2 and the Transferee Company may be dispensed with.

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b. Since there are no Secured Creditors in the Transferor Companies No. 1 & 2 and the Transferee Company, the requirement of convening meetings of the Secured Creditors of the Transferor Companies and the Transferee Company does not arise. Therefore, the requirement of convening meetings of the Secured Creditorsof the Transferor Companies No. 1 & 2 and the Transferee Company may be dispensed with.

c. All the Un-secured Creditors of the Transferor Companies No. 1 & 2 and the Transferee Company have given their written consents by way of affidavits. Therefore, the requirement of convening meetings of the Un-secured Creditors of the Transferor Companies No. 1 & 2 and the Transferee Company may be dispensed with.

14. This Tribunal directs that, in view of the consent affidavits given by the Shareholders of the Transferor Company No. 1 & 2 and The Transferee Company, the requirement of convening meeting of the Shareholders of the Transferor Company No. 1 & 2 and The Transferee Company, for the purpose of considering and if thought fit approving the proposed Scheme of Amalgamation, are dispensed with.

15. As stated, there is no Secured Creditors in the Transferor Company No. 1 & 2 and the Transferee Company, accordingly, the requirement of convening meeting of the Secured Creditors of the Transferor Company No. 1 & 2 and the Transferee Company, for the purpose of considering and if thought fit approving the proposed Scheme of Amalgamation, is dispensed with.

16. This Tribunal directs that, in view of consent affidavits given by the Un-secured Creditors of the Transferor Company No. 1 & 2 and The Transferee Company, the requirement of convening meetings of the Un-secured Creditors of Transferor Company No. 1 & 2 and the Transferee Company, for the purpose of considering and if thought fit approving the proposed Scheme of Amalgamation, are dispensed with.

17. The Applicant Companies are directed to serve the notice along with a copy of the Scheme upon: (a) the Central Government through the office of the Regional Director, Northern Region, Ministry of Corporate

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Affairs, New Delhi; (b) the Registrar of Companies, Uttar Pradesh, Kanpur; and (c) The Official Liquidator, Uttar Pradesh, Allahabad; and (d) the Income Tax Department,with a direction that they may submit their representation(s), if any, within a period of 30 (thirty) days from the date of receipt of such notice to the Tribunal and a copy/ies of such representation(s) shall simultaneously be served upon the Applicant Companies, failing which, it shall be presumed that the authorities have no representation(s) to make on the Scheme of Amalgamation as per Rule 8 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016.

18. With the above directions **CA(CAA)No.02/ALD of 2021** is disposed of accordingly.

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JUSTICE RAJESH DAYAL KHARE

MEMBER (J)

Date: 18.01.2021

Swati Gupta
(LRA)